

A HOME

Part of the American dream seems to be home ownership. I use the term “own” loosely, because what that means to most people is to be paying a mortgage. So the common definition of owning is “as opposed to renting.” Many people try to buy a home too soon or pay too much, and end up in financial trouble.

Unfortunately, quite often they don’t realize that financing the home created their monetary troubles because it took too large a portion of their spendable income. Just as with Ben and Naomi, the first couple discussed in this book, they find themselves sinking further behind every month.

The percentage of an average family’s budget that should be spent on a house payment is no more than 32 to 40 percent of net spendable income (after tithes and taxes). That percentage would include mortgage payments, utilities, insurance, maintenance, and incidentals.

Unfortunately, many couples commit more than 60 percent of their budgets to housing. There is virtually no way to handle that kind of cost. If they look at their spending for the year, the strain would be apparent, but, because they usually look only at one month, they don’t see it. The monthly budget an individual or family has typically lacks allocations for clothes, car repairs, and medical expenses. So it is unrealistic.

If you can afford to purchase a home within your budget, it’s a good decision to buy. But wrecking your budget just to own a house makes no sense at all. The compulsion Americans have for buying large, expensive homes is just a reflection of poor stewardship in general. Most couples would be far better off saving for a down payment of at least 20 percent and buying a smaller, less expensive home initially. Certainly the purchase of a home for a young couple should never be determined on the basis of their combined incomes, because if one income fails (for example, if the wife becomes pregnant and stays home with the child) the entire purchase will be in jeopardy. That violates the principle of good planning: “A